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Banco da Providência: Dilemmas over Social Impact Assessment

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Abstract

This case study explores challenges faced by Banco da Providência, a Brazilian non-profit organization working to promote labor market inclusion of vulnerable individuals in Rio de Janeiro's favelas. The story revolves around Clarice Linhares, an executive at the organization, and Terezinha Nascimento, the social project manager, as they confront the challenge of assessing the social impact of their Three-Phase Productive Inclusion Program. The case contrasts different approaches to impact evaluation, ranging from quantitative to qualitative methods, and highlights the dilemmas posed by trade-offs between rigor, cost, and ethics in impact evaluations. Students will be asked to evaluate the available data, compare different impact assessment strategies, and recommend a path forward aligned with the organization's mission and constraints.

Case

Learning Outcomes

By the end of this case study, students should be able to:

- recognize the complexity involved in decisions regarding impact assessments, which are important for the understanding of trade-offs related to each alternative's accuracy, cost, and ethics;
- identify the positive and negative aspects of different impact assessment alternatives;
- discuss viable approaches to overcoming data collection and usage challenges;
- evaluate whether the financial cost of measuring impact precision is justified and explore viable alternatives while considering ethical constraints;
- analyze how social organizations create value, for whom, and by what means, and the strategies for ensuring alignment with their mission.

It was Friday, February 2, 2018. Clarice Linhares, an executive at Banco da Providência (then the Instituto da Providência), and Terezinha Nascimento, social project manager, went to one of the branches of the organization, located in the neighborhood of Cidade de Deus (which in English is “city of God”), which became famous after the release of the 2002 eponymous movie. A non-profit organization based in Rio de Janeiro, Banco da Providência's mission is to help reduce social inequality and foster the development of people living in the favelas of the city of Rio de Janeiro. *Favela* is the Brazilian Portuguese term for an urban slum. These areas face numerous barriers to economic development, for instance inadequate infrastructure, unclear property rights, frequent violence involving gangs and police, and a lack of essential public services such as health-care, legal assistance, and education. The purpose of Clarice and Terezinha's visit was to monitor the growth in household registrations in the Three-Phase Project, the bank's training and education program to promote the inclusion of vulnerable populations.

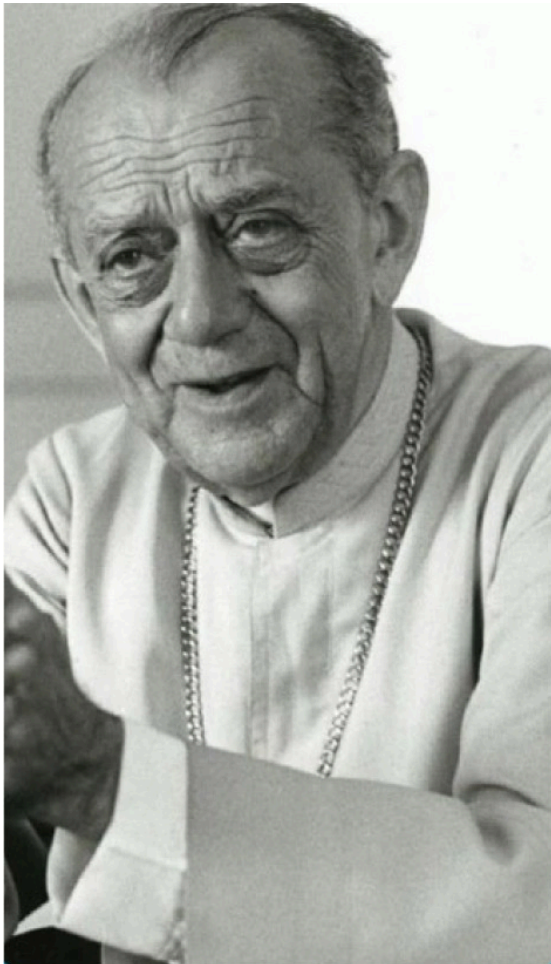
Traveling 35 kilometers from the headquarters of Banco da Providência in the Lapa district, the cradle of the city's bohemian life, to Cidade de Deus, Clarice and Terezinha talked in the cab about the organization's advances. Founded nearly 60 years ago, Banco da Providência has developed various ways to assist those in need and has made extensive efforts to improve its assistance methods, including creating and implementing management and performance control indicators. While reminiscing, Clarice told Terezinha that although its advances were notable, they were not enough. Banco da Providência had to prove that it caused a positive impact on society in line with the expectations of the investors supporting the project. However, how could this impact be accurately assessed with maximum rigor and minimum cost? What would be the best method for conducting this assessment? What should be done if the impact assessment indicated that the project did not cause any positive impact? Finally, if the program had a positive impact, did its cost balance the social value generated? Just thinking about all these questions, Clarice and Terezinha felt chills down their spines.

The cab arrived at the access to the Cidade de Deus community. From there, however, the women would have to go on foot to the branch since the cab driver refused to enter the favela out of fear of violence. They would have to stay alert along the way, given the daily conflicts between gangs and police. However, their questions about the best way to assess Banco da Providência's impact and the consequent developments still bothered Clarice and Terezinha.

Banco da Providência: Between Welfare Logic and Productive Inclusion

Banco da Providência was created in 1959 in an initiative of the Rio de Janeiro Archdiocese, led by Archbishop Dom Hélder Câmara, head of the Catholic Church in Brazil, pictured in [Figure 1](#). The Banco da Providência was established through various actions taken to assist those living in vulnerable communities, which led Archbishop Câmara to be nominated four times for the Nobel Peace Prize. The establishment of the Banco da Providência was successful despite the lack of support from the Brazilian government.

Figure 1. Archbishop Don Hélder Câmara



Don't forget:
That car that wouldn't
start
Just needed a small push
Given by a friendly car.
Tired and beaten
souls
Usually need
Much less.

Archbishop Hélder Câmara

Source: Banco da Providência reports translated into English, used with permission

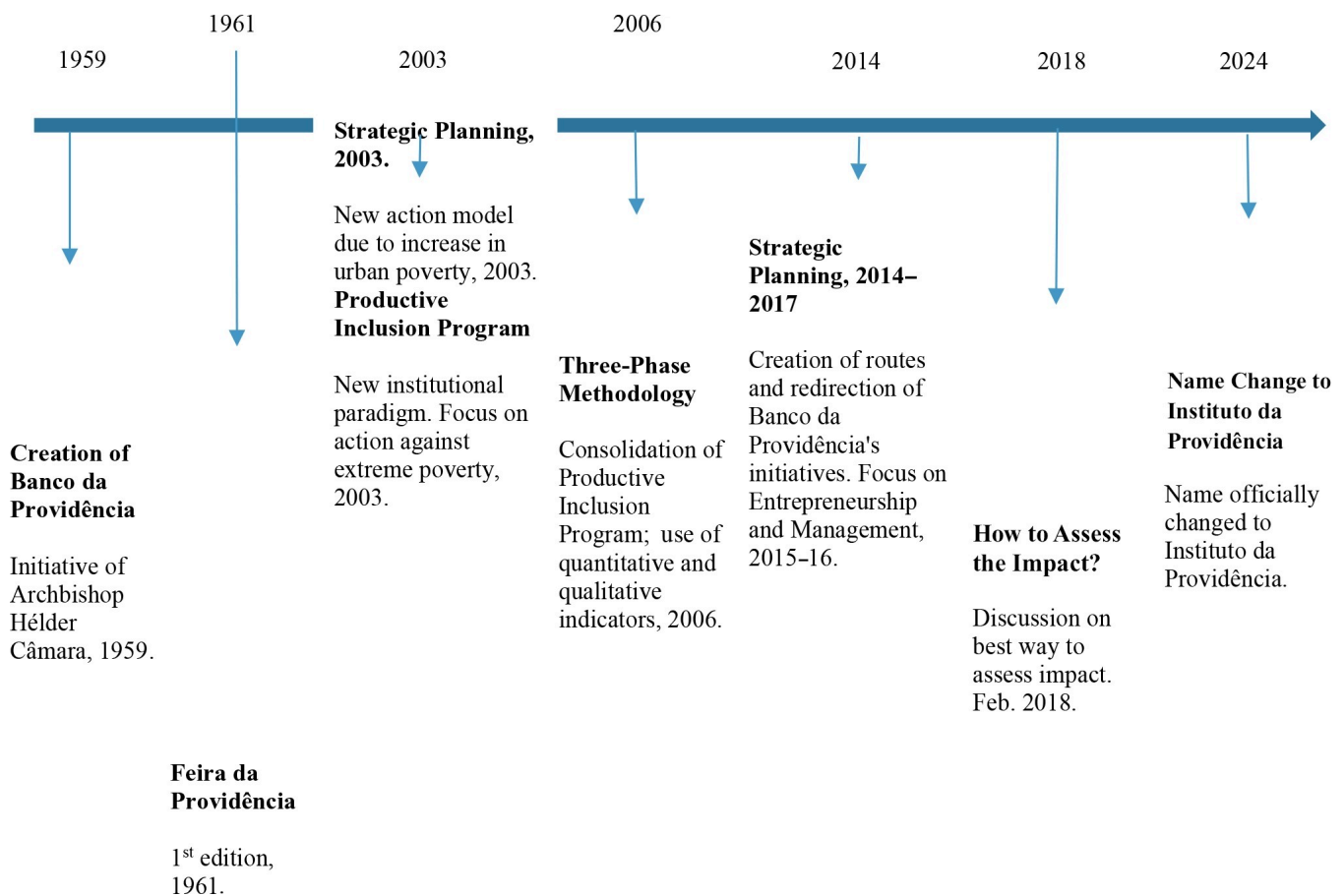
At first, Archbishop Câmara envisaged a system by which the poor and indebted population of Rio de Janeiro could obtain loans and credit. Such a system was needed as this segment of Brazilian society did not have access to the banking system and thus to loans at a reasonable—and lawful—interest. Because of this lack of access, this population was exposed to loan sharking with its excessive interest fees and threat of violence, keeping large numbers of people in perpetual poverty. Archbishop Câmara called his idea the “Bank of People in Despair,” as it was intended to provide an alternative for the poor and indebted population. However, the expression “people in despair” could further stigmatize these already vulnerable individuals; therefore, following the suggestions of his peers, the name chosen was “Banco da Providência,” which means a bank of “divine providence,” reinforcing the goal of creating a bank based on the currency of solidarity. The expression

divine providence appears in many Bible citations, e.g., Job 10:12, Matthew 6:30–33, and Psalms 78:19–22.

The business model envisaged by Archbishop Câmara in 1959 was somewhat similar to what would be created later, in 1976, in Bangladesh by Muhammad Yunus, winner of the Nobel Peace Prize in 2006. In this model, small financial loans are granted to groups of women in situations of extreme poverty to enable them to repay their debts and start a business with their families. However, although initially conceived under a microcredit model, given the plurality of public social problems, Banco da Providência had, over much of its history, based its assistance model somewhat indiscriminately on its various social needs. Accordingly, Banco da Providência provided assistance in the form of food, health, education, and housing, among other initiatives related to multidimensional poverty.

Despite the noble character of its mission, some doubts and concerns arose. After all, the initiatives were insufficient to solve all the problems, and the structural causes associated with poverty were not addressed. In addition, indiscriminate welfarism hindered the organization from focusing on a specific problem and its resolution.

These general concerns led to initiatives that focused on vocational training to prepare workers for the job market. The slogan *Professional Training to Form Citizens*, adopted in the 1990s, became the foundation of the organization's actions, signaling an important strategic change. In this context, Banco da Providência would use professional training as a way to help participants prepare for entering the labor market. In other words, the change in approach minimized the effectiveness of the welfarist logic and paved the way for productive inclusion logic. The change led Banco da Providência to seek a prophylactic role instead of a palliative one, based on the belief that people are agents of change in their own lives. With this new mindset, Banco started developing its key project, the Three-Phase Productive Inclusion Program. This program is shown in context in [Figure 2](#), a timeline of significant milestones in the history of Banco da Providência.

Figure 2. Banco da Providência Timeline

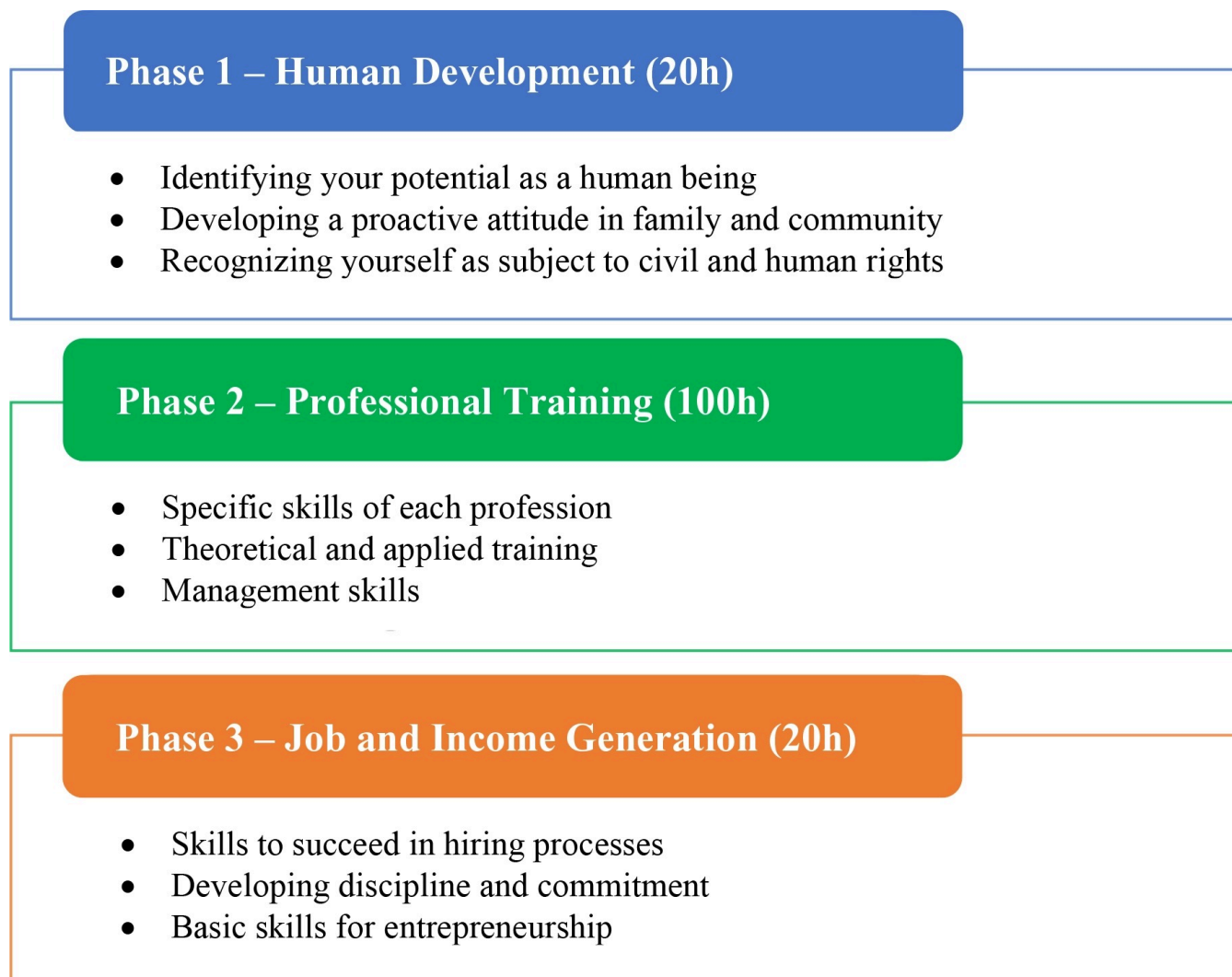
Source: Prepared by the authors based on Câmara (1968) and data collected in the field

The Three-Phase Program

The Three-Phase Productive Inclusion Program was launched in 2003 ([Figure 2](#)) with the aim of training people to enter the labor market as employees or entrepreneurs. As its name suggests, the program was divided into three phases guided by an innovative methodology that envisaged the development of both technical skills and socio-emotional ones. An outline of the program is shown in [Figure 3](#). Terezinha, an unconditional supporter of the book *Pedagogy of the oppressed* by internationally acclaimed Brazilian educator Paulo Freire (2018), was the program's creator. With the support of the managing and advisory board of Banco da Providência, the goal of the initiative was to help vulnerable individuals develop their professional and human

skills while also fostering their self-initiative capacities through dialogue and a culture of peace.

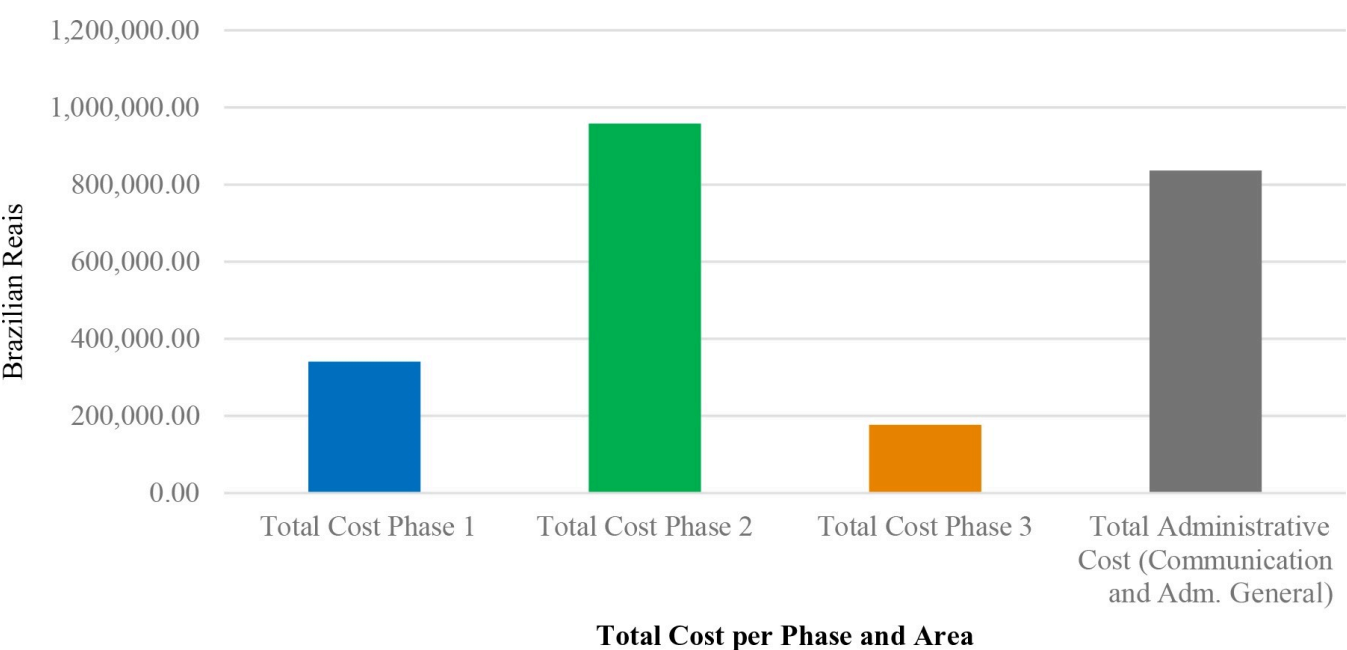
Figure 3. Outline of the Banco da Providência Three-Phase Productive Inclusion Program



Source: Banco da Providência reports translated to English

The entire program took nine months to complete. Each phase focused on a group of specific skills and a target to be reached (see [Figure 3](#)). In the past year, the whole program costs were more than Brazilian real (BRL) 2.3 million to attend 430 individuals (the same number the organization plans to attend in the current cycle). (Approximately BRL 6 are equivalent to USD 1.) The breakdown of costs per phase and administration of the organization is presented in [Figure 4](#).

Figure 4. Banco da Providência Costs Breakdown for a 430-person Cohort



Source: Banco da Providência reports translated to English

Phase 1: Human Development (20 hours)

The first phase developed participants’ social and emotional skills. This step was composed of ten meetings of two and a half hours each, whose purpose was basically to present information on the job market, identify individual skills and potential of developing those skills, and, in some cases, rebuild the participants’ self-esteem. Students were also required to prepare and present an attitude plan to instill in them a recognition of their rights and duties.

Communication, behavior, dialogue, domestic violence, and a culture of peace were discussed with participants through group conversations and dynamics to raise awareness and empower them so that they would realize they are agents of change in their own lives, with the goal of creating bonds and the determination needed to engage them in the program’s next phase.

Phase 2: Professional Training (100 hours)

The main goal of the second phase was training for the job market and professional inclusion with specific development goals to be achieved. Participants could choose an activity in which to specialize, such as sewing, electricity, refrigeration mechanics, hairdressing and makeup, information technology, housekeeping, and food service. Given the characteristics of the target public, the program adjusted its language to make the content more accessible to low-education individuals, who historically have been victims of social stigmatization, in order to enhance understanding and mitigate dropouts. The courses were administered at the Banco da Providência's training center located in Realengo, a district on the outskirts of Rio de Janeiro. In addition to adapting the program's content, Banco da Providência provided transportation, meal vouchers, and supplies for participating in the course, including workbooks and tool kits.

Phase 3: Labor and Income Generation (20 hours)

Interactions in the program's third and last phase occurred through eight meetings of approximately two hours each. They addressed skills related to behaving in a job interview, how to write a resume, and basic management skills, such as cash flow analysis and product pricing.

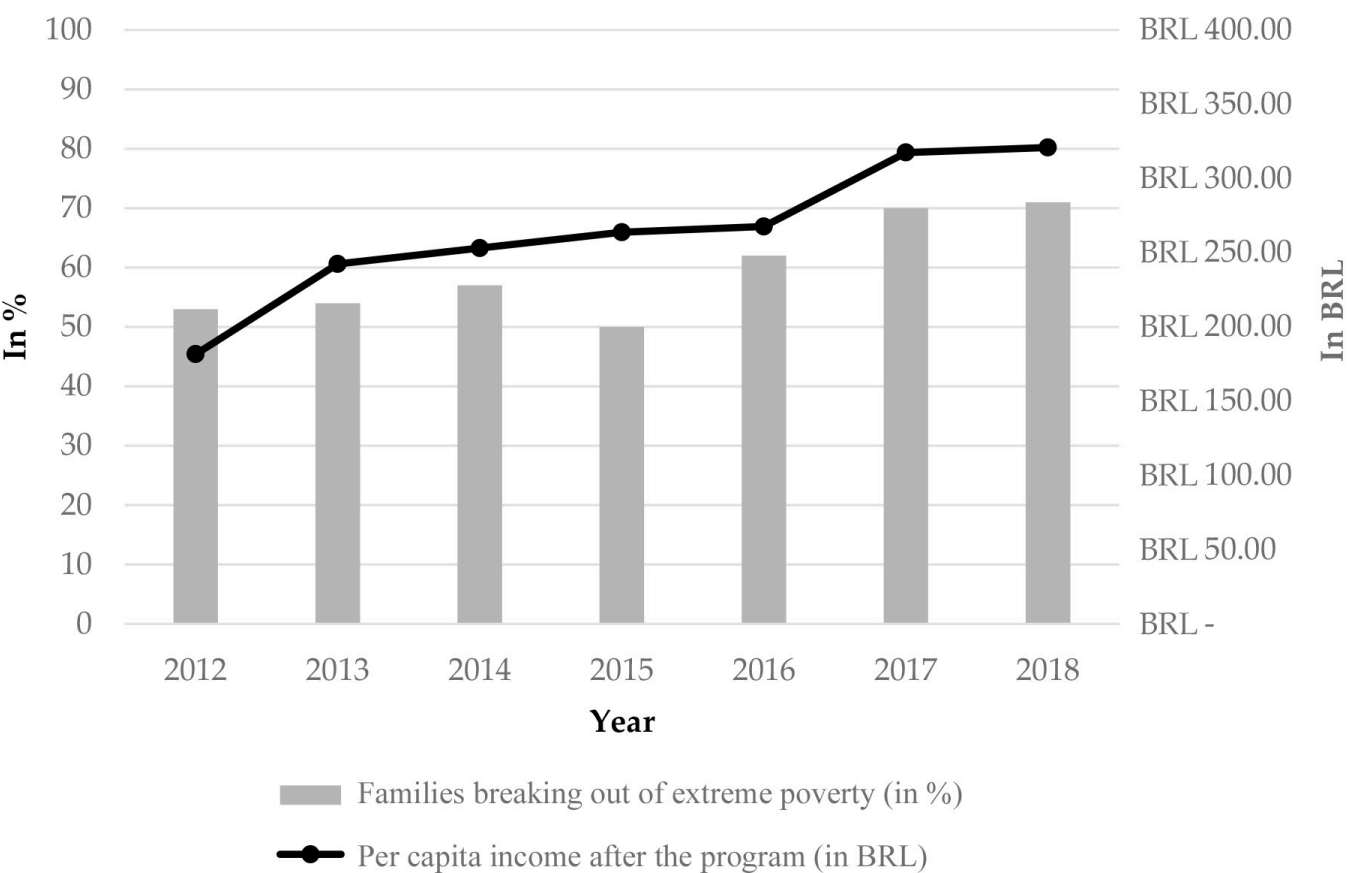
This phase also included the Entrepreneurship Agency, in which individuals interested in developing their own businesses received instructions on how to plan their activities. At the end of this phase, they presented a business plan subject to evaluation by an independent examining board. This final phase aimed to strengthen the skills of beneficiaries, and their effective and productive inclusion with goals linked to a percentage of the minimum wage.

How is Impact Measured?

Finally, Clarice and Terezinha arrived at the branch of Banco da Providência located in Cidade de Deus. Upon entering, both noticed many people filling out the initial registration form. The bank's social assistants gather socio-economic information on participants through this form, which is subsequently stored in the bank's records. The form, which includes aspects such as age, gender, educational attainment, income, labor status,

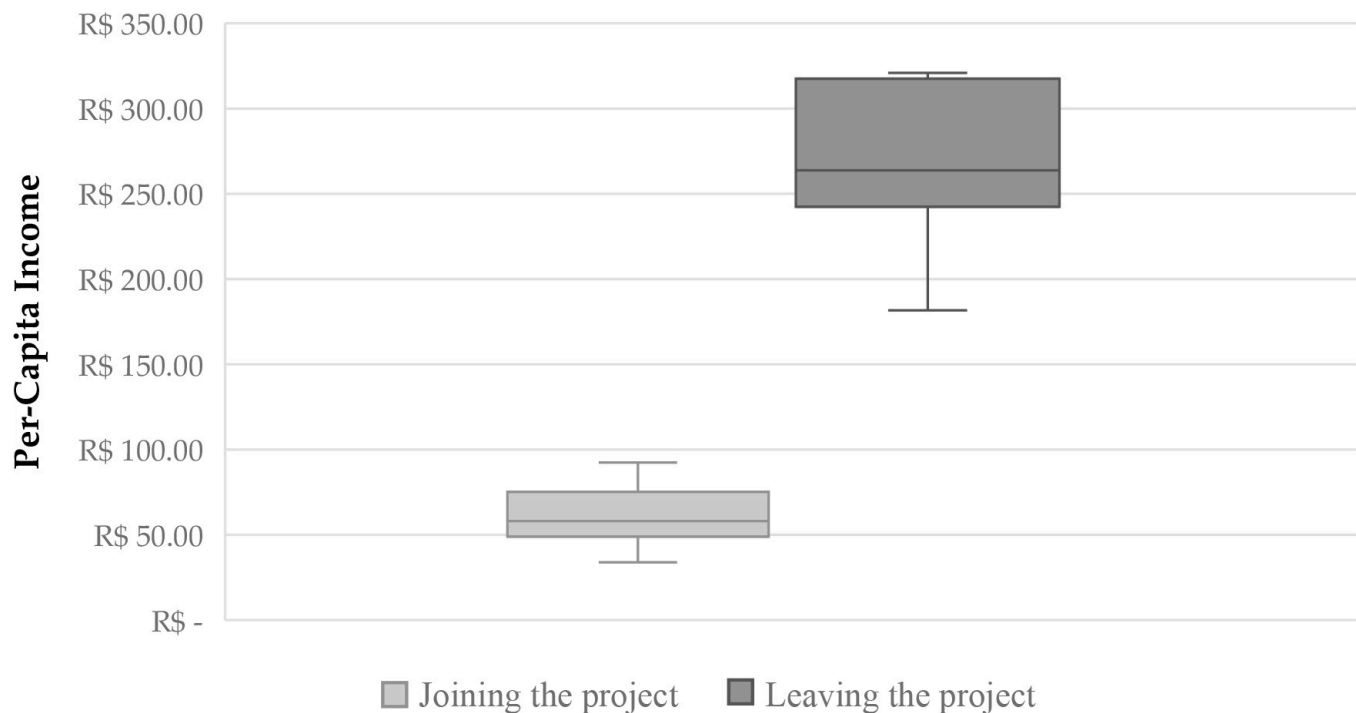
and professional background, is then sent back to headquarters. In recent years, around 70% of households that participated in Banco da Providência’s program were able to lift themselves out of poverty, with a per capita income of around BRL 300 per month (see [Figure 5](#); Gois, 2024).

Figure 5. Evolution of Results of the Three-Phase Productive Inclusion Program



Source: Data provided by Banco da Providência to the authors for educational purposes.

Upon seeing this scene, Clarice had an inspiration. “Eureka, Terezinha!” she exclaimed. “We have historical data on all participants of the Three-Phase Program from when they register for the program and when the program ends. What if we compare the income of these households before they start in the program and after they graduate from the program? I bet we can assess the impact without spending a dime.” The comparison envisioned by Clarice is shown in [Figure 6](#).

Figure 6. Per Capita Income upon Joining and Leaving the Project

Source: Data provided by Banco da Providência to the authors for educational purposes, covering the years from 2012 to 2018

Clarice rejoiced at her epiphany. It was so obvious: the impact assessment had been under their noses all this time and without them even realizing it.

But, upon hearing the idea, Terezinha wondered: “But the Banco’s records do not include participants’ emotional aspects. I think the impact assessment would be much weaker if we don’t consider these aspects.” She added, “Do you remember Janaína Franco, a resident of Cidade de Deus? She attended the course in 2017, graduated as an electrician, and started earning a monthly income of three hundred reais still during phase three of the program. I remember her saying that the income was the least of things, with the most important being the joy of living that the program had given her.”

Clarice agreed with Terezinha. In fact, Janaína was an emblematic example. She had been a victim of domestic violence as a child. After losing her husband, who was killed by a stray bullet during a police operation, she joined Banco da Providência’s program to find a job that would enable her to raise her four young chil-

dren. With no expectations at the beginning, Janaína developed and overcame her depression to become a professional electrician.

After remembering this entrepreneur's case, Terezinha noted, "Janaína was a hard-working mother and had notable socio-emotional capacities of resilience, perseverance, and compassion." However, her example was not the exception but the rule. Many other participants had made similar statements. Testimonial statements by a small number of program graduates are presented in [Figures 7](#) and [8](#). Terezinha asked, "How will we capture this impact using only the data in the records?"

Figure 7. Testimonials by Three-Phase Productive Inclusion Program Graduates – Part 1

“I feel a great sense of accomplishment! After the training and persistence, we opened a beauty salon in my neighborhood. My life changed 100%”

Cristiane Mendes – Student of the Hairdressing and
Entrepreneurship program

Source: Banco da Providência reports, translated into English

Additional testimonials in a video available on the [Banco da Providência Youtube Channel](#)

Figure 8. Testimonials by Three-Phase Productive Inclusion Program Graduates – Part 2



“I’m advertising my business and thank God every day I have work to do. I want to thank everyone from Banco da Providência and its sponsors, who believed in my potential and gave my life a push!”

Bianca – Cidade de Deus
Trained in Mechanics and Refrigeration program



O curso me apresentou outros horizontes, novas técnicas que posso aplicar no meu trabalho. Minha vida mudou muito! Valeu muito participar do projeto do Banco da Providência.

Jeferson Luiz- Gericinó
Capacitado no curso de Lancheiro e Doces Finos

“The courses gave me new horizons, new techniques that I can apply in my job. My life changed a lot! Participating in the project of Banco da Providência was really worth it.”

Jeferson Luiz – Gericinó
Graduate in Restaurant and Fine Sweets program

Source: Banco da Providência reports, translated into English

Additional testimonials in a video available on the [Banco da Providência Youtube Channel](#)

Indeed, poverty should be understood in its multiple dimensions (Sen, 1993), not only by observing the increase in income or any other specific criterion. Therefore, the emotional and psychological aspects of the participants should be considered when conducting an impact assessment. Terezinha suggested: “What if we do a focus group study?” She believed that aspects related to the challenges of life in the favelas and the factors indicating participants’ social marginalization would only be easily identified through their oral reports. Forming a focus group, led by a moderator in which participants could jointly construct their perceptions, would reveal common problems without demanding significant financial resources or time. Moreover, a focus group study could emphasize specific aspects while also considering the issues raised by the participants that the Banco da Providência team had not envisaged in its initial planning.

Although Clarice had agreed with Terezinha about the importance of emotional and psychological aspects, she did not believe in the potential of focus groups for measuring Banco da Providência’s impact. While Terezinha described the method’s benefits in eliciting participants’ emotions and feelings, Clarice remembered a moment when an economist from a local university mentioned that impact assessments must consider aspects related to individual efforts upon inclusion in vocational programs, as well as the economic conditions of those not participating in the program, to serve as a baseline. Following this line of reasoning, Clarice replied, “Terezinha, I think that the solution is selecting some people to participate in the program and others not to participate, then we could compare them at the end and see if and where they improved. We can implement the method this year.”

Terezinha frowned upon hearing this. “What are you saying, Clarice? You mean that we will have to tell people that they aren’t participating in the program? Do you think that is fair?” At the same time that Terezinha questioned this, the last person in line, Maria do Céu, a middle-aged woman with an infant, entered the room to register. Terezinha then added, “Would you have the courage to tell this woman she won’t be attending the program? I wouldn’t.”

Late Afternoon in Cidade de Deus

After completing the registration of Maria do Céu, Clarice and Terezinha said goodbye to the social assistants

and decided to stop in a small cafeteria, proudly headed by a couple of entrepreneurs, Betinha, a Black woman full of determination, and her husband, Paraíba-born Betão, both of whom had been program participants in previous years. The filtered coffee and hot bread with clarified butter happily served by the couple sharpened their senses, which led Terezinha to say on the way back to headquarters: “I think that we are on the right path, but how can we prove the program’s impact? Also, how would we know if the potential impact of the program justifies its costs?”

Clarice sighed and said with conviction, “I don’t know how to answer that, but if there is a way to make a rigorous impact assessment, I am more inclined to use the Davos model rather than the Porto Alegre model!” She was obviously referring to the differences between the Davos World Economic Forum and the Porto Alegre World Social Forum—two spaces that represent divergent perspectives on social and economic policy, and the paths toward prosperity and welfare. But what would it look like to rigorously evaluate a program similar to this? And what trade-offs might emerge depending on which framework we use?

Discussion Questions

1. Is the organization creating value? If so, for whom and how is it doing this? List and briefly describe several alternatives for ensuring that the organization is accomplishing its mission.
2. List and briefly describe positive and negative aspects of each impact assessment alternative.
3. How can they overcome the problems of collecting and making the best use of data? How can they best use data for measuring impact?
4. Is the financial cost of measuring the precision of the impact assessment worth it? Are there viable alternatives? If so, what are they? Are there ethical constraints in making such assessments? If so, are these problems more significant in one type of impact analysis than in other?
5. If the Three-Phase Productive Inclusion Program has a positive impact, how could they know if it is cost-efficient? That is, does the cost of delivering the project balance the social impact generated by undertaking the project?

Further Reading

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